

The *Satoshi Nakamoto* white paper in 2008 solved this problem using a combination of *blockchain* technology and *proof of work*.

Equity token. A type of cryptocurrency that represents ownership of an underlying asset or a pool of assets.

ERC-20. Ethereum Request for Comments (ERC) related to defining the interface for fungible tokens, which are identical in utility and functionality. The U.S. dollar is fungible currency in that all \$20 bills are identical in value and 20 \$1 bills are equal in value to the \$20 bill.

ERC-721. Ethereum Request for Comments (ERC) related to defining the interface for non-fungible tokens, which are unique and are often used for collectibles or specific assets, such as a loan.

ERC-1155. Ethereum Request for Comments (ERC) related to defining a multitoken model, in which a contract can hold balances of a number of tokens, either fungible or non-fungible.

Ethereum (ETH). In existence since 2015, second largest cryptocurrency or *blockchain*. Its native cryptocurrency is known as ether (ETH). Ethereum's blockchain has the capability of running computer programs known as *smart contracts*. It is considered a distributed computational platform and sometimes referred to as the Ethereum Virtual Machine.

Ethereum 2.0. A proposed improvement on the *Ethereum blockchain* that uses *horizontal scaling*, *proof-of-stake consensus* and other enhancements.